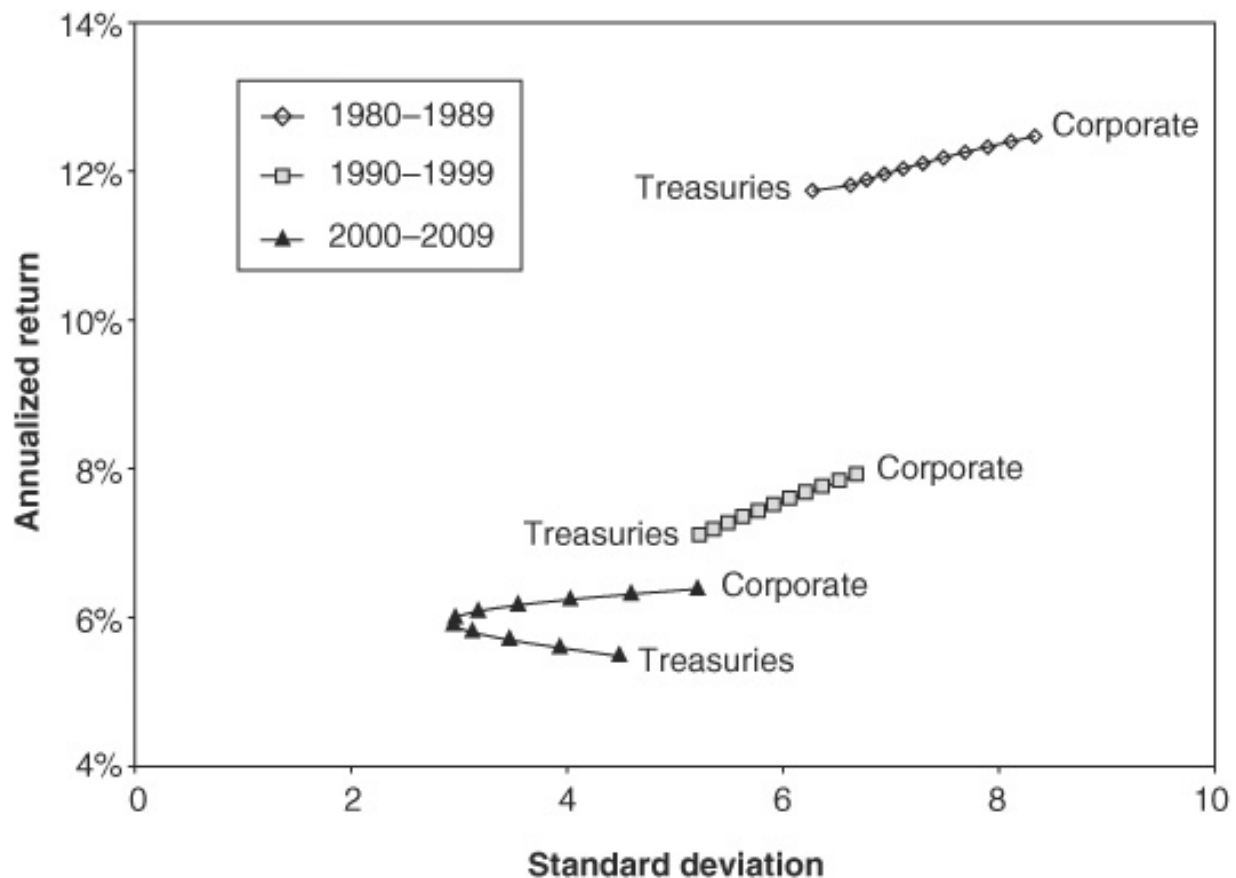




The correlation between the Treasury index and the credit index averaged about +0.8 over the long term. This means that the two investments generally move together. However, there are times when the correlation has been distinctly negative, and returns differed considerably. The most recent occurrence of negative correlation appeared from 2007 to 2009. This period resulted in a strong diversification benefit.

A MULTI-ASSET-CLASS EXAMPLE

The following is an example of a multi-asset-class portfolio using the five asset classes covered in this chapter:

- U.S. large-cap equities (S&P 500 index)
- Large Pacific Rim equities
- Large European equities
- Intermediate U.S. Treasury notes
- Intermediate U.S. dollar-denominated corporate bonds